

Chapter 14

THE MONETARY OUTLOOK

The most widely held beliefs with regard to the future course of national monetary affairs are (1) that inflation is the number one economic threat and (2) that the Federal Reserve Board is in full control of the rate of monetary expansion and contraction. The studies in this book challenge those assumptions. The first assumption is a case of fighting the last war. This chapter will demonstrate that the true threat today is not inflation, but deflation. The second assumption is pure mythology. A close study of short term interest rate trends reveals that the Fed is reactive, not proactive. It does not determine interest rate levels; it reacts to changes set by the mechanism truly in charge: the *market*. If central banks could control monetary trends, then why, despite all "efforts," is the Japanese government unable to change the course of its collapsing investment prices and soaring yen, the early byproducts of a raging deflation? If the U.S. Fed could control interest rates, then why did they explode to double digit levels in the 1970s and early 1980s, and why did they soar again in 1994? Does anyone claim these trends are what the monetary authorities truly desired?

If history does not make the Fed's powerlessness obvious, the next trend in rates will. Readers of *Elliott Wave Principle* will recall Charles Collins' words with respect to coming events:

My thought is that the end of Supercycle V will probably also witness a crisis in all the world's monetary high-jinks and Keynesian tomfoolery of the past four and one-half decades and, since wave V ends a Grand Supercycle, we then had better take to the hurricane shelters until the storm blows over.

By conventional methods, there is no hint of any such crisis on the horizon. Indeed, economists are unanimous in their identification of the slowing money supply expansion and moderated price index gains as the best imaginable news for long term economic growth. Before we describe what the Wave Principle and history suggest about the monetary outlook, let's review *The Elliott Wave Theorist's* position at the last tidal wave juncture, another time when our outlook differed mightily from that offered by conventional approaches.